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ROCKWOOL A/S (ROCK.B.DK)

Q3 2024 Earnings Call

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MANAGEMENT DISCUSSION SECTION

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, ROCKWOOL A/S

Good day to everyone and welcome to ROCKWOOL A/S' Conference Call regarding the Result for the First Nine Months of 2024. My name is Kim Junge Andersen. I'm the CFO of ROCKWOOL A/S.

Today, I'm pleased to present CEO, Jes Munk Hansen. For the first part of this call, all participants will be in a listen-only mode. As a reminder, this conference call is being recorded.

First, Jes will go through our presentation and give you the update on the results for the first nine months and third quarter of 2024, after which we'll be ready to answer all your questions. Please keep this at the maximum of two questions at a time, allowing us to go through the entire participants of question – all the questions from the participants.

Before I hand over the word to Jes, I must ask you to notice slide number 2, which is the forward-looking statement. Please be aware that this presentation contains uncertainties. Now, we can go to the next slide, which is slide number 3.

Jes, I now hand over the word to you.

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

Thank you, Kim. My name is Jes Munk Hansen. I am the new CEO here at ROCKWOOL. It's a pleasure for me to take you through Q3 earnings call. And I will focus my comments the next 20 minutes on Q3. So, we have ample of time for Q&A afterwards.

I'll start out on slide 3. And as you can see, our sales over the last nine months increased 7%, both in local currencies and in reported figures. Sales was mainly driven by volume and notably our sales prices, overall, remained stable. Of course, a few slight downward trends in some markets to preserve market share.

Our margin increased, mainly driven by volume, but we also had high productivity and lower-than-expected input cost, which also, of course, contributed to driving the margin, overall a margin expansion of 3.5 percentage points, leading to this first nine months margin of 17.8%.

Let me dive into Q3 highlights a little bit more and add some flavor here. We grew in local currencies 5%, 6% in reported figures. When I look at the sales increase in local currencies, approximately 3% was driven by volume and 2% by price.

We note again, very strong performance in North America and Central Europe. I'll get back to the regions in a minute. I'm very pleased with the development here in Q3 when it comes to sales, as also remind ourselves that we have harder comparisons on the top line.

We had a strong EBIT for the quarter, which I must say also was impacted with €5 million from extraordinary write-downs on adjustments due to useful life from some customer relationships. Overall, we were up 1.9

percentage points, ending with an 18.1% EBIT margin. If I add back these extraordinary write-offs and adjustments, we would have landed on €181 million in EBIT equaling 18.9% margin.

To slide number 5, just briefly for the year-to-date sales, as you know, the macroeconomic environment this year is challenging, particularly in Europe, where growth in the residential and new-building activities is subdued. Having said that, we are strong in the renovation market, which makes us more resilient for the current environment.

So overall, very pleased with the year-to-date sales, particularly at the Insulation segment with 9% growth, whereas we had a slower start to the Systems segment. However, there we had a divestiture that influenced the first nine months with 2% growth or it would have been 2% growth had we not divested it.

A little bit more flavor to Q3 and, now, I'm on slide 6, as again, the 5% quarter-over-quarter gain very much driven by North America and Central Europe and some more positive signs from our Systems segments. In the quarter alone, this Wille divestment would have ended us up at 4% growth if we not had that in the quarter. But some positive notes from the Systems segment across the units in that segment with more modest development in Grodan.

I move to slide number 7 just to talk a little bit about our regions. First, Europe, where sales increased in several markets, notably Germany, where we are doing well and in Spain, whereas in France, we have a stagnating development.

East Europe, again, also a very differentiated picture, where we see a couple of countries with a double-digit growth, this includes Russia and other countries such as Poland and Hungary, with decreasing or flat growth. Poland, Hungary, when I look at the comparables to last year, this – or the last few quarters, it is really almost a flattish development.

Very strong performance continues in North America, as I mentioned, with double-digit sales growth. And again, a mixed picture in Asia, where India and Japan stands out as our top performers.

There's a lot of speculations on the elections, for us, how – in the US and the consequences of the new administration. But we believe that the underlying macros are important – more important to our business and, therefore, we are still investing in to the North American market. Yesterday, in our board meeting, we just approved another investment of around €100 million into a new production line in our technical insulation.

I'm on slide 8 and a few comments on the quarter's profitability. Our EBITDA remained solid at 25.2% and this is driven by strong profitability – sorry, strong productivity that, of course, drives our profitability.

Input costs were slowly – slightly lower than expected in Q3, though we do see some tendencies to some of the input costs, particular gas, to increase. So, overall, EBIT in the quarter year-over-year up 18% and EBITDA 10%.

Yes, I mentioned stable sales prices again there have, of course, an influence.

Next slide, the slide number 9, profitability by segments, where there is a difference between our reporting segments, very strong profitability in our Insulation segment, up 29%, whereas, yeah, little bit more disappointing in the Systems segment, where we are challenged.

However, as I mentioned, Systems segment has some one-offs, re-evaluations, particular about the use of life of some customer relationships and then also there was a little bit of a product mix shift towards – in the Grodan business towards more European, more traditional markets instead of the cannabis market in the North American market and our Grodan business just has lower margins in the European sub-segments.

Let's jump to slide number 10, our investments activities. We invested in total €73 million in the quarter. And as you know, we have basically three categories we invest into and divide them also up here by the three categories of new capacity, our own reduction of carbon generation and, of course, acquisitions. And we have continued investing into both capacity and our conversion, mainly this last period into our Flumroc E-melter in Switzerland and new coming melting technology in our very large factory in Roermond in Holland.

In Holland – or Netherlands, sorry, we have also invested in new capacities for Rockpanel. So, we keep on investing in this expansion.

On the acquisition side, you probably have seen, in our press releases, that we have made two acquisitions in the quarter. One is the stone wool producer in Vietnam and a systems holder in United Kingdom called Wetherby. The two of them, put together, represent approximately €60 million in sales and €12 million EBIT.

Just a few comments on our cash flow. Net working capital decreased €41 million compared to last year. And then, we have continued in executing on our share buyback programs as announced and planned. So, overall, a very strong cash flow during the quarter at €197 million. And this is, of course, mainly driven by the operational performance at hand. And we continue having a very strong cash position that, of course, enables us also to invest into the future.

I have selected two subjects just to talk a little bit about here in the Q3 call. When we look into opportunities in the future, the UK market is a market that we see as a strong opportunity for us. We see a growing demand for non-combustible insulation. And, therefore, we have both invested in additional land where we intend to build a new factory. That is in Birmingham. And then, we have acquired this Wetherby Building Systems company I just told you about and that is a system holder, we call it ETICS, it's basically external facades. And we have acquired that to strengthen our overall offerings in the market.

Of course, this market also is looking at energy efficiencies and which technologies can support that and that we play into, of course, but there's also very strong agenda on the fire safety. The huge tragedy that happened a few years ago in the Grenfell Tower accident has again lifted the attention to fire safety and non-combustible insulation material and there we have a natural stronghold. So, we are optimistic on the futures of opportunities in the UK market.

Then, if you turn to slide 13, the slide starts with an abbreviation, for those of you who don't know what that means, the EPBD, it stands for the Energy Performance of Buildings Directives. That is a new complex of laws and regulations coming out of Brussels. This will be something that we will report on ongoingly, because it will have a significant impact on our business in Europe over the next decade.

The regulation really subscribes what – prescribes a significant renovation wave the next decade and we put in some numbers here. They're very specific in their target setting, both on the residential side and the public building side. And as you can see, the numbers of buildings that need to be renovated already before 2033 is staggering. We have mentioned here the 25 million amounts of buildings – homes, sorry, that needs to be done here over the next 9 years.

And that is really what constitutes this new law more than the previous laws that they are much more specific on their target setting and they are much more short term in nature than previous legislations.

What happens now is, after Brussels approved this in May, now each country is obligated to set targets locally and we are working through that with our public affairs activities and other marketing activities, of course, to form these local plans as much as we can with our offerings.

Good, I'm jumping all the way to outlook, page 15. And in short, I can confirm that we maintain our outlook for the year. I think most of you will know that, since it is a confirmation, but just to repeat it, sales, we still expect around mid-single digit, EBIT around the 17% and an investment level around €375 million for the full year. And these, of course, also take into account that we always see a decline in activity in the construction industry in December, where many of our main markets close down, both for the holidays but also weather-related.

Those was my main comments for the material at hand. And we will open up for questions now.

QUESTION AND ANSWER SECTION

Operator: [Operator Instructions] We will start with two questions per participant. Please respect this. Our first question comes from Kristian Tornøe and SEB. Please go ahead.

Kristian Tornøe Johansen

Analyst, Skandinaviska Enskilda Banken AB

Q

Yes. Thank you. I have two questions. First one is about Eastern Europe and the slowdown you are seeing in growth. So, obviously, very strong growth in the first half, as I understood it, driven very much by the commercial new buildings. So, can you just speak a bit about whether this is sort of a reflection of weaker demand or whether this increased price competition, and if any, if market shares plays into the segment or what's driving this slowdown and whether it should stick to the coming quarters as well?

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

Yeah. There was only one question, but okay.

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, ROCKWOOL A/S

A

Yeah, yeah. It's fine.

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

But, that's okay, Kristian. So, I was just sitting and waiting for...

Kristian Tornøe Johansen

Analyst, Skandinaviska Enskilda Banken AB

Q

I'll do the next one afterwards.

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

That's fine. Yeah, but a little bit of mix of things. But I think it is important to state that it's fairly stable if I look quarter-to-quarter. So, it's been a little bit up and then a little bit down. And it is very different from market to market. Kim and I have just been visiting both Poland and Romania lately. So, it's very, very nuanced. It's hard to make one headline for all of it, but there is some slowdowns in building activities, absolutely, in some of the markets.

And we do see, in select markets, Poland, for instance, a very heavy price, you can say pressure, particularly from the foam side, the PIR and PUR, as we call them. So, a hard press on the prices, but we hold our prices. I mean, that is what we believe is the right thing.

Kristian Tornøe Johansen

Analyst, Skandinaviska Enskilda Banken AB

Q

Okay. Understood. And then, my second question here is exactly on pricing, because I don't know if I'm confused, but at least I sense a bit mixed signals, because you do flag this downward trend in some markets, yet you started your presentation by saying that you are seeing 2% growth from prices in Q3. So, can you maybe sort of break it down whether – or what markets where you seeing a downward pressure and whether that really impacts the overall group or if you can compensate by increasing prices in other segments?

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

Yes. But it is a very mixed picture around and I'm very pleased that our organization is very good at adapting to the tactical environment that they are in. So, I understand that it's hard to, on an aggregate level, fully understand. But just to give you some flavor, we are under price pressure in East Europe and also our market, our main market like France, we see very difficult price situations. And also a market like Germany, I would say where we have held our prices, but have been tactical in applications, in certain applications and I don't want to elaborate on that level, but where we are certain, applications have decided to lower prices slightly to gain volume. So, yes, in aggregates that is the picture.

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, ROCKWOOL A/S

A

And the main – this is Kim here. The main movements on prices in Q3 obviously was the 8% price increase introduced in North America. The rest of the market, by and large, as Jes say, are more flat on prices. But North America made that 8% price increase 1st of July.

Kristian Tornøe Johansen

Analyst, Skandinaviska Enskilda Banken AB

Q

And if I may just follow up, so when you then say you are starting to discuss price increases for your customers for next year, what level of price increase should we be expecting?

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

In the range of 1% to 2%. But again, very differentiated – sorry, 2% to 3% in on average. But again, very differentiated market-by-market.

Kristian Tornøe Johansen

Analyst, Skandinaviska Enskilda Banken AB

Right. So, 2% to 3% for the group, give or take?

Q

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

Correct, 2% to 3%.

A

Kristian Tornøe Johansen

Analyst, Skandinaviska Enskilda Banken AB

Excellent. All right. That was all for me. Thank you so much.

Q

Operator: Our next question comes from Claus Almer and Nordea. Please go ahead.

Claus Almer

Analyst, Nordea Bank Abp (Denmark)

Thank you. First of all, Jes, congratulation with your job and good to hear you on the call. I will also do two question, one by one. The first is about the pipeline of larger projects. How do you see this has developed over the recent months? That will be the first one.

Q

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, ROCKWOOL A/S

Yeah. Maybe I will take that, because, of course, Jes doesn't have a lot of history in this. As you rightly know, Claus, we do not have a pipeline of any large order sitting there. We're very much dependent on the daily dispersed sales, which is majority part of our whole business. So, we don't have these pipeline trackings, because it doesn't make a lot of sense for us in understanding the overall content of business. So, in that sense, we don't have a lot of data points leading into 2025 at the present moment.

A

Claus Almer

Analyst, Nordea Bank Abp (Denmark)

Yeah. Kim, I know there was more about – I guess you are in discussions with architects and so on, more trying to figure out whether building new data warehouses, et cetera, et cetera, how that is moving these days?

Q

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

But again...

A

Claus Almer

Analyst, Nordea Bank Abp (Denmark)

It's definitely indicating a slowdown.

Q

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

No. I mean, we were just been going through all our markets with our leadership. And there was not a signal that there would be a material change on that.

A

Claus Almer

Analyst, Nordea Bank Abp (Denmark)

Q

Okay. Then, my second question goes to this is, as also Kristian asked about this, price discussion. In the past at least and, Jes, I know this before your time, but one helping factor when you are discussing your pricing with the customers, was low margins going a few years back during the COVID years. Now, in the margins, 17%, 18%, I guess that would be a more difficult discussion having with the dealers. So, what is the initial thoughts or take-away from the discussions? Today, the pushback is, yeah, you might have inflation, but you're also making a lot of high margin in these days.

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

But we – yeah, again, it's very differentiated, but there is an understanding of that, we have to follow up with price increases when we see input cost coming up. And I do in general and see that our customers understand also our price positioning and the value that our products generate. So, for me, it's more an – a steady drumbeat of 2% to 3% of price increases is for me a total normal thing to walk into next year with.

Claus Almer

Analyst, Nordea Bank Abp (Denmark)

Q

Okay. So, not a major pushback from the dealers?

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

We don't expect that in general.

Claus Almer

Analyst, Nordea Bank Abp (Denmark)

Q

Okay. All right. That was all for me. Thank you so much.

Operator: The next question comes from Brijesh Siya in HSBC. Please go ahead.

Brijesh Siya

Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

Q

Hi. Good morning, gents, and congrats, Jes. Two questions from my side as well. Firstly, on the margin for Q4, you clearly indicated that December is something – is kind of – seasonally will be a weaker one. But given the strong margin you had up to nine month and including Q3, if we take out those one-offs, what other factors that could have led to kind of maintaining that guidance or rather than upgrading the guidance? So, just looking at Q4 as such, do you see any incremental change from Q2 that is leading to you to kind of being cautious on that margin guidance?

And the second one is more of a strategic one. I know it's kind of only two months since you have kind of got into it, but any early thoughts of what ROCKWOOL suit are – they looking into the future? Is it how the growth you are looking at it? And you have highlighted the UK and EPBD, but, yeah, EPBD is certainly a long-sorted still, we don't know how the funding is going to come.

But looking at the ROCKWOOL business as such, what do you think is kind of missing in [ph] jigsaw (00:25:39) or missing in this piece? Are you looking to the adjacencies with the previously you talked about when you left? But

is that something you look to kind of enlarge so that your product offerings are broadening, hence your margin profile could continue to remain healthy?

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

I'll take them one after each other. Yeah, of course, you have the margins in Q4, October-November are fairly normal months. So, it's only the December month that is connected with the great uncertainty. And so, we're fairly firm on the outlook that we will land on what I just articulated before.

When it comes to strategies, yeah, it's, I think, the one I want to highlight here is our opportunities in North America. I talked a bit about the European market, but the North American market is driven by a slightly different logic.

Two things I want to highlight here. One is that there is a category shift going on in North America, where stone wool today is very low percentage points of total insulation market and the appreciation for non-combustible insulation is on the rise, so that is one factor, and then a general appreciation of energy efficiency in the North American market. So, in addition to the two other ones I mentioned, that would be the one I would point to today.

Brijesh Siya

Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

Q

Okay. Fair enough. Okay. Great. Thank you very much.

Operator: The next question comes from Zaim Beekawa and JPMorgan. Please go ahead.

Zaim Beekawa

Analyst, JPMorgan Securities Plc

Q

Good morning, Jes. Good morning, Kim. And best of luck, Jes, with your career at ROCKWOOL. Just two for me is one on volumes. After quite a decent 2024 in terms of the volume growth, how much do you think the business can grow in 2025 if the market is supportive? Maybe in other words, how much more can you do before you become capacity constrained?

And the second question, on the cost side, I think you gave some commentary on inputs rising, such as gas. Can you speak about the other inputs and also on your hedging strategy for next year? Thank you.

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

Yeah. The capacity question is, again, very local. As you might know, our products travel, depending a little bit what type of product, 500 kilometers or 600 kilometers and not much more. So, capacity discussions are very, very local and, therefore, also tactical matter and not always something that, of course, for commercial reasons we want to mope about. But having said that, in Europe, we have capacity available also for next year. And then, of course, we have announced for – as a row of new factories to support our growth.

I just mentioned North America, where we have already announced a very large investment up in the state of Washington. I think I've mentioned here before, we have also just announced today – yesterday, decided on our capacity expansion in southern US. And then, notable countries such as Romania, Sweden and, of course, India, where we also are investing in additional capacity. So, I feel that we have the capacity we need for our growth.

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, ROCKWOOL A/S

A

Hi, Zaim. With regards to input cost, what I can say is that, currently, we have covered for electricity and gas about 40% of our consumption leading into 2025, a bit more at the first two quarters and a bit less at the end of the year. That comes, especially for gas, at a cost that is higher than what we have this year. But that has been taking into whole planning with this pricing drumbeat that Jes had mentioned.

On the foundry coke, which is still our largest energy source, we have seen a more stable development. And I don't expect there will much movements in the coming quarters. We are negotiating quarter-by-quarter. So, we don't even have, as of yet, the quarter one cost for this. But I don't expect any big movements neither up or down on the foundry coke side.

Zaim Beekawa

Analyst, JPMorgan Securities Plc

Q

Okay. Thank you, both.

Operator: The next question comes from Casper Blom and Danske Bank. Please go ahead.

Casper Blom

Analyst, Danske Bank A/S

Q

Thank you. Actually, just a follow-up on the question regarding your guidance and the sort of implied guidance that you gave for Q4. Obviously, sort of depending on how you read mid-single-digit revenue growth and around 17%, but if you sort of put in 5% growth for the full year and 17% margin, you're sort of implicitly guiding for a margin of 14.5% in Q4 2024. That's sort of flat compared to what you reported in Q4 last year, but I think, underlying, you were above 16% in Q4 last year. Is there sort of any other reasons than wanting to take into account that December can be unpredictable or why you're guiding that margin underlying down in Q4?

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

No. There's no – none of significance. It is just a cautious statement on the...

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, ROCKWOOL A/S

A

On the December, yeah.

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

Yeah, the December.

Casper Blom

Analyst, Danske Bank A/S

Q

Okay. So, entirely cautiousness. Thank you. And then, just following up a bit on your comments regarding Germany and France, where you talked a bit about some pricing pressure, I think, in both countries. Can you talk a bit to sort of the development of this? Is this sort of an increasing price pressure that you're seeing in France and Germany or it's sort of a little bit of a continuation of what we've also seen in the last couple of quarters? And

if you have any view sort of on whether or not you're sort of starting to see the trough of market activity in those markets. Thank you.

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

I mean, the pricing pressure is not as such increasing. I mean, it is a difficult market in Central Europe. Look at the housing starts and overall economic activity that drives our business, I mean, it's basically inflation – gross domestic product and interest rates. So, we don't see an additional price pressure. But what I talked about before was more tactical changes to price. We are strongest in the renovation market, as I said. So, when we see opportunities there, of course, we are tactical about that as well.

But France and Germany are participating in the pricing drumbeat next year, the 2%, 3%, and that is after a few years of fairly stable prices that we return to, say, on a more normalized pricing drumbeat.

Casper Blom

Analyst, Danske Bank A/S

Q

And any view on sort of the market outlook for those two specific countries next year?

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

I've read the same market reports you have about housing starts and I don't think I can add flavor to it other than what you can read in those reports. The slight optimism I see in some of them, just to remind everyone, that is from a low level of activity that they're talking at.

Casper Blom

Analyst, Danske Bank A/S

Q

Understood. Thanks a lot, Jes.

Operator: The next question comes from Alexander Craeymeersch with Kepler Cheuvreux. Please go ahead.

Alexander Craeymeersch

Analyst, Kepler Cheuvreux SA (Belgium)

Q

Hey. Good morning. So, two questions for me. Alexander from Kepler Cheuvreux. So, one would be on the sales volumes. It's already partially answered. You mentioned sales volume increase continued, but at a lower pace. What segments do you refer to specifically? And is this a capacity constraint or a demand constraint? And if it is a demand constraint, which regions are you referring there specifically?

The second question would be on the fire safety. So, it's quite visible in your presentation that you mentioned it has one of the first drivers. Could you maybe explain a bit how that contributes to your top line at the moment and how would this evidence in your pricing power in the Insulation segment and maybe also give us a bit of an indication of how big the market is here for you today and maybe in the future as well. Thank you.

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

I'll take the second one first, maybe that will also then hit the other one. Fire safety, I cannot put the specific numbers to it, but it is a major differentiator for us and is a major driver also in some of the markets that are down

right now. And the one I will highlight here is to give you a flavor for Germany, where we're doing well and it's driven – there's a particular application in Germany on flat roofs. When you put in PV, so solar cells on flat roofs, there's a heightened risk of fire.

These PV panels, I don't know if you know this, but they have a tendency to start fires. So, if you have a large industrial building, you want to put in some non-combustible material on your roof before you put PV panels in. So, that's an application where we have very strong products and where we see an uptick even in a depressed market from a – you could say it's both a renovation, because people then insulate at the same time, but also from a fire safety perspective.

But I also – I mean, there's a whole row here I can dive into. Of course, I talked about the UK and the Grenfell Tower, but there has been similar disasters in Spain, for instance, in Valencia that now drives a lot of political and legislative, not just the discussions, but specific things coming out.

Kim and I were just in Romania. I'm just giving you a few ideas of how this looks like in Europe. In Romania, where they arguably have one of the strongest fire regulations in all of Europe, I don't know if you've been to Romania lately, but many of their medium to high rise buildings will need to be insulated from the outside. And of course, they are concerned about fire safety, where they historically have used plastic foam types. Now, regulatives prescribe a non-combustible material and that is, of course, giving us tailwinds in these applications. So...

Alexander Craeymeersch

Analyst, Kepler Cheuvreux SA (Belgium)

Q

And maybe if – maybe just to – so, how much of this market have you recaptured and how much do you see as a potential in the future?

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

I don't have specific numbers on that. I don't.

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, ROCKWOOL A/S

A

Yeah, yeah. But for sure, I said that the markets where we do see a strengthening of legislation, there is an impact for sure on the demand after a non-combustible insulation material. We have seen that in the UK, we have seen that whenever we have a market where there is a tightening of legislation, but we cannot quantify it as such.

Alexander Craeymeersch

Analyst, Kepler Cheuvreux SA (Belgium)

Q

Okay. Thank you.

Operator: We continue with a question from Peter Sehested with ABGSC. Mr. Sehested, your line is open. We don't have Mr. Sehested. We'll continue with the question from Arnaud Lehmann and Bank of America. Please go ahead.

Arnaud Lehmann

Analyst, Bank of America

Q

Thank you very much. Good morning, gentlemen, and thank you for the presentation. I have two question. The first one is on different types of insulation. And you mentioned fire safety as a factor, but my understanding is that the pricing in foam and wood fiber has gone down, while you guys and the other stone wool and glass wool manufacturers have kept pricing more stable.

So, now, there's a little bit of a price gap between the different types of insulation. Is there a reason that the market share start to shift towards, let's say, cheaper type of insulation back to foam or back to wood fiber versus stone wool? That's my first question.

And the second question is on the Systems margin, you highlighted a product mix shift and also you're selling more in Europe, less in the US. Do you think this is a structural change or this was a little bit of a one-off for Q3? So, should we consider the Systems margins to be a little bit lower going forward? Thank you.

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

Let me start by the first question about different insulation materials. There's always been a pricing difference between the different insulation materials, the plastic, the foams and also – and between us. But there's so much more to your price positioning that and I mentioned fire quite a few times, but there's also quite a few other things.

If I look at – totally different dimension is durability of the products and, of course, also the chemical compound of our products or the acoustics of the products all play an important role when an architect or designer choose the product.

So, you can't really just – you can't compare the products. It's a very, very different offering to install with foam and with stone wool and that justifies a significant higher price point in most applications.

So – but the fire one is the easiest one to understand. But don't underestimate the other ones. One we see, of course, also growing is circularity. And that is, in some markets, becoming more and more important. We are, to my best knowledge, the only one who really can, really true circularity, take our products back and re-melt them. And that's simply because of the raw materials we use in our technologies in general.

So, it's different – different things that drives that, the price differentiation, not just one thing. And to the margin, no, that we don't see that as a structural change that the Systems division's margins should be at that level. So, no, no to that.

Arnaud Lehmann

Analyst, Bank of America

Q

Thank you very much.

Operator: The next question comes from Yassine Touahri with On Field Investment Research. Please go ahead.

Yassine Touahri

Analyst, On Field Investment Research LLP

Q

Yes. Good morning. And thank you very much for taking my questions. Firstly, I 'm a little bit confused by your message on pricing in the third quarter. You said that pricing were relatively stable quarter-on-quarter, but that prices is up 3% year-on-year in Q3. I'm a little bit confused, because I saw that prices were relatively stable in H1.

So, if it's a 3% in Q3, it would suggest that there is a sequential price increase between Q3 and Q2. But maybe I misunderstood something. That would be my first question.

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, ROCKWOOL A/S

A

Yeah. Thanks, Yassine. The pricing compared to quarter three last year is around 2% plus. And the quarter sequentially, the only change we really have made is the price increase in North America, which is a positive thing for the group.

Yassine Touahri

Analyst, On Field Investment Research LLP

Q

So, I could imagine – I could understand that further there is a big increase sequentially in the US, which is more than offsetting the small sequential increase...

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, ROCKWOOL A/S

A

Yeah, yeah, absolutely.

Yassine Touahri

Analyst, On Field Investment Research LLP

Q

...in Eastern Europe and...

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, ROCKWOOL A/S

A

Absolutely. They did an 8% sort of percent – increase in North America. And that was quite positive also for the entire group.

Yassine Touahri

Analyst, On Field Investment Research LLP

Q

And the second question, which is more on the capital allocation and the long term, I know it's a little bit early, but you're now heading a group, which has no debt, which is quite – which is generating a lot of free cash flow. Do you have a view of the level of debt or the level of leverage you'd be comfortable with? I think [indiscernible] (00:43:50) historically was mentioning a 60% equity ratio, which suggest that you could have a firepower to spend more than €1 billion on – €1.5 billion on acquisition or expansions or share buyback.

Would love to understand how you're thinking about it, especially in a context where we see a lot of your competitor, like Knauf, Saint Gobain, Kingspan thinking to move into system in an environment where you got a lot of labor shortage trying to offer a solution like ETICS or sort of really like other than just offering product, offering a solution to address the problem of your customer? How do you think about the cash that you're going to spend and the capital allocation?

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

I think I'll start with a couple, if you can say, more business-related considerations and then I'll let Kim also talk into the balance sheet. But, of course, as a CEO, it's a pleasure to have a balance sheet that looks the way it does. It gives us opportunities to invest in capacity and in our own conversion and then in acquisitions.

Yes, and I've also said [ph] that sort of price (00:44:56) – I see us also both investing organically and inorganic more into a system thinking. We are a stone wool player, but we already have a Systems segment, as you know, that we will report on where we take stone wool and, for instance, make what we have called rock wool, which is an acoustic products.

We take stone wool and make Grodan, which is a growth media for different agricultural applications. And we have more opportunities with doing that. This is also about, you can say, modernizing the construction sites. Construction sites are inherently old fashions and labor shortage is an issue. So, the more value we can peck around our stone wool or include into our stone wool, the better offering we deliver to the installer.

So, I think there will be plenty of opportunity to invest in all these three, four categories of capital expenditures.

Yassine Touahri

Analyst, On Field Investment Research LLP

Q

And on the leverage targets, if you look at the medium term?

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, ROCKWOOL A/S

A

Yeah. I mean, we don't have – I mean, you could say the distribution policy has really not changed. So, I think the board will be quite cautious about having a stable dividend payout. And then, as you know, this year, we're doing the share buyback as a result of the excess cash we accumulated. We have talks with the board of what to do going forward, but it's clear that the CapEx – you can say capital expenditures over the coming years will increase. That simple effect of the number of factories that we'll be starting up with constructing.

So, I think we'll be cautious on the balance sheet side and then on the capital structure and then use, as we've done this year – if there's a chance to do some share buyback, we will do that on an ad hoc basis.

Yassine Touahri

Analyst, On Field Investment Research LLP

Q

Yeah. Thank you very much.

Operator: The next question comes from Marcus Cole and UBS. Please go ahead.

Marcus Cole

Analyst, UBS AG (London Branch)

Q

Hi. Good morning. Yeah. Thanks for taking my questions. The first one is just to be clear, on the pricing strategy, is your strategy to maintain price/cost in 2025?

And then, the second one is, as we think about sort of where the CapEx has been and price safety and where margins currently fit, where do you think the sustainable level of margins is, say, on a three to five-year basis, where do you think the sustainable level is? Thank you.

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

It's – first one, we continue driving our price. I'm a strong believer in price management, of course. So, we will continue that. And also, if we can, of course, drive price harder than cost. If we see an opportunity for that, we'll definitely do that. So, yeah, if that is an indication of it.

Can you remind me of your second question?

Marcus Cole

Analyst, UBS AG (London Branch)

Yeah. The second question was just on where do you think the sustainable margin is on maybe a three to five-year view, given your comments on CapEx acoustic and fire safety, they're driving a higher margin on where we sit today? I'm just thinking where should we expect the margin to normalize out to?

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

I can't guide on that now – that this one.

Marcus Cole

Analyst, UBS AG (London Branch)

Okay. Thank you.

Operator: The next question comes from Harry Goad and Berenberg. Please go ahead.

Harry Goad

Analyst, Joh. Berenberg, Gossler & Co. KG (United Kingdom)

Yeah. Hi. Good morning. Two please. First one, relatively similar, but slight different from the last question about the margin. I mean, obviously, the full-year 2024 group operating margin will end up quite materially higher than where you've been in recent years. I mean, is it right to think about this as the new normal in terms of profitability to the group?

And then, the second question, can you just remind me in terms of the new capacity you're building, not plant [ph] expansions (00:49:26), but totally new capacity, how many plants are underway? And a reminder of the total CapEx cost on average per plant, please. Thanks.

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

The margins, again, we're not guiding on margins for the next few years, but as I – I think I've talked about pricing and keep on driving pricing wherever we can. And I think I've argued – told you about our positioning the market that there's, of course, another very important vector that we invest a lot in and that is productivity. We have significant programs running, also CapEx programs on automation of our factories. And there, we see quite a few opportunities for operational efficiencies, which is, of course, also a major contributor to margin expansion. So that is equally important as looking at pricing. Yeah.

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, ROCKWOOL A/S

And then, on the capacity, I just want to have a few words on that. And then, as you know, the announced factories that we are building right now, Romania, Sweden, US and India, they vary in size and vary in cost. So, it's very difficult to put a one number to it.

They go from €60 million to €360 million each, but with the most expensive one in North America and the cheapest one in India. So, that's what we said, but what I have guided for before is that our CapEx ratio to net sales will increase from the level about 9%, 10% to about 13% to 14% for the coming years. So, you will see an increasing sort of CapEx need to expand the capacity over the coming years.

Harry Goad

Analyst, Joh. Berenberg, Gossler & Co. KG (United Kingdom)

Thanks very much.

Operator: The next question comes from Peter Sehested with ABG. Please go ahead.

Peter Sehested

Analyst, ABG Sundal Collier ASA (Denmark)

Yes, can you hear me now?

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

Yes. We hear you, Peter.

Peter Sehested

Analyst, ABG Sundal Collier ASA (Denmark)

I'm joining in and off from the call. So, I might have a repeat of a question that you have to bear in mind that I was off. So, it's regarding the guidance on growth, where you are sticking to the mid-single digits and we're strict that is 5%, so that implies relatively low growth in Q4. So, just to understand, whether you are just being cautious as usual and/or whether we should actually see a dramatic drop in growth in Q4 and then with a run rate into Q4, into Q – into – sorry, into 2025, which is very, very low.

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

Yeah. We did talk about it while you were offline a little bit. And again, the dynamics here is two normal months, if you wish, October, November, and then December, which is very unpredictable because of weather. And, yeah, vacations are, of course, predictable, but the weather side. But, all in all, a small growth in Q4 is reasonable to assume, yeah, if you still think that's prudent, but a small growth.

Peter Sehested

Analyst, ABG Sundal Collier ASA (Denmark)

All right. And then, just coming back to, let's say, the pricing discussion, I mean, you also raised the list prices last year. You also raised prices next year. But you are sort of more firm on getting those prices through across the board on an end-market basis. So, my question is this, in terms of internal KPIs for your country managers, is it – I assume that it's fair to assume that they are more heavily incentivized on getting end-market prices through in 2025 than they were in 2024. Is that a correct assumption?

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

The incentive models have not changed, but I can tell you that we have a great deal of attention to pricing. We have very strong mechanisms in the organization. And I actually personally lead these meetings, also called pricing calls, where we gather the sales leadership globally and give them a high degree of transparency of how prices have evolved and where we make the necessary discussions about the way forward. And then, of course, also in our monthly operating meetings, we guide and follow up on that. So, we have a very strong mechanism on that, but incentives' models are unchanged.

Peter Sehested

Analyst, ABG Sundal Collier ASA (Denmark)

Q

But you confirm that you have a more of a focus on that [ph] strong HQ (00:54:48) level next year than you had this year. That's what it sounds like.

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

Yeah. Sorry, that is unchanged. I mean, it's a process that was instilled when I came in, but I have fully adapted it.

Peter Sehested

Analyst, ABG Sundal Collier ASA (Denmark)

Q

Okay. All right. Thank you.

Operator: Our next question is a follow-up from Kristian Tornøe with SEB. Please go ahead.

Kristian Tornøe Johansen

Analyst, Skandinaviska Enskilda Banken AB

Q

Yes. Thank you. Two follow-ups here. So, first, on Grodan, you've highlighted the impact for Q3. So, just want to understand whether this sort of negative mix impact is assumed to continue in Q4?

And then, secondly, we've talked about December a number of times here, but maybe just a useful reminder, how was December last year? So, what comparison do we have? How bad was the weather impact last year?

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, ROCKWOOL A/S

A

Yeah. Hi, Kristian. Kim here. We don't see the same pattern repeating itself in Q4 for the Grodan. And of course, that said, Grodan has have some very heavy sales months in December as well, a bit unusual compared to the larger insulation business. So, it's still to be seen, but I don't expect it'll be the same.

December last year, in terms of top line, compared to normal months, we are typically losing five, six sales days. The construction market will typically close down between Christmas and New Year and that is a 25% to 30% lower sales in a normal December month without any snowfall. So, that's sort of the expected impact.

Kristian Tornøe Johansen

Analyst, Skandinaviska Enskilda Banken AB

Q

Okay. Great. And just to make sure I understand, so you're saying December last year was a normal December give or take?

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, ROCKWOOL A/S

Yes. It was.

Kristian Tornøe Johansen

Analyst, Skandinaviska Enskilda Banken AB

Excellent. Thank you.

Operator: Our last question comes from Alexander Craeymeersch with Kepler Cheuvreux. Please go ahead.

Alexander Craeymeersch

Analyst, Kepler Cheuvreux SA (Belgium)

Hey. Hello. Back again. I think one question [ph] maybe (00:57:11) wasn't answered, which was on the slowing pace of the volume increases. I was just wondering whether it was a capacity or a demand constraint and if there are any regions where you're working at full capacity.

And maybe if I can just sneak one more, which is directed to the CEO, Jes Munk Hansen. What are your first priorities now that you have been recently installed? Thank you.

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

There are no capacity constraints that holds us back from volume growth. And I just remind you that it's – the tougher comparables that we're looking into right now.

Could you repeat the second question? I couldn't hear you.

Alexander Craeymeersch

Analyst, Kepler Cheuvreux SA (Belgium)

The second question would be, what are your first priorities now as a CEO?

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

But I – my first priorities is, of course, you say that the basics of continuing running a very successful company and build on top of what we have. So, most of our strategies and approaches I will continue, in particular defending our margins and our prices in the market, but then there are big subjects. One of them I talked about before that my focus area, strategically, it is really what value we can create around this European renovation wave, we call it. The next decade, it will have a significant impact on our business.

And I think you can appreciate that, that takes a lot of orchestration both from, you can say, sales, marketing, public affairs and then ensuring that we have the right factories and capacities in the countries where we see the developments.

So, that is a very, very, very important point. Then, of course, with that is also linked to the overall capacity discussion and our own de-carbonization. But as I also see developments in North America as an absolute key focus area for us, both in leadership and in operations and India, we have mentioned a few times, as a very interesting market for us.

Alexander Craeymeersch*Analyst, Kepler Cheuvreux SA (Belgium)*

[audio gap] (00:59:34) very much. Congrats.

Q

Operator: Our last question is a follow-up from Peter Sehested with ABG. Please go ahead.

Peter Sehested*Analyst, ABG Sundal Collier ASA (Denmark)*

Yeah. I would just follow up on the comment in the Q3 announcement from yesterday, where you not only say that you are in discussions with the – on price, but also highlighting your increased CapEx. Is that also one of the reasons why you are trying to get price increases through? Is that you want to convince suppliers, et cetera, that without the additional capacity from ROCKWOOL in Europe, there could be a squeeze on supply and, therefore, even higher prices for suppliers than they would expect in the future?

Q

Jes Munk Hansen*President & Chief Executive Officer, ROCKWOOL A/S*

No, no, there's no link between the two. That's not.

A

Peter Sehested*Analyst, ABG Sundal Collier ASA (Denmark)*

Okay. Thank you.

Q

Operator: Ladies and gentlemen, this was our last question. I would now hand over back to the management for any closing remarks.

Kim Junge Andersen*Chief Financial Officer & Senior Vice President, ROCKWOOL A/S*

Thank you very much. Jes and I thank you for the today's earning calls. And we would like to thank you for all the questions and the very good discipline you had there. And then, appreciate your interest in ROCKWOOL A/S. If you have further questions, you are welcome to reach out to me. You might find the details in the Investor section in our corporate website.

Have a very nice day. Thanks very much, everybody.

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